

Tempus AI, Inc.

TEM NASDAQ

Buy \$50.84 ▲ 4.20% 12M Price Target \$68.00 52-Week Range \$41.73 – \$104.32 Market Cap \$9.13B

TEM: Bouncing Off Lows, Smart Money Loading Calls

WHAT'S CHANGED

- TEM popped 4.2% yesterday to \$50.84, riding a big tech sector rally (Tech ETF up 3% on the day) and shaking off the recent slide from \$52 earlier in the week.
- The company launched an open-source digital pathology consortium this week — basically getting hospitals and labs to use their AI tools as a shared standard, which is a long-term land grab move.

IMPLICATIONS

TEM is sitting at just 15% of its 52-week range — meaning it's much closer to the lows (\$41) than the highs (\$104). That's either a gift or a warning. The fact that options traders are buying 4 calls for every 1 put (very bullish positioning) while the CEO dumped \$3M+ worth of stock in late May is sending mixed signals — the pros think it bounces, but the guy running it took money off the table.

VALUATION

At a \$9.1B market cap on roughly \$1.3B in expected 2026 revenue, investors are paying about \$7 for every \$1 of sales — which is reasonable for a company growing 30%+ in AI healthcare, where peers often trade at \$10-15 per dollar of sales. The catch: they're still losing money, so you're paying for a future that hasn't shown up yet. If they execute, I see 30-35% upside to \$68 over 12 months; if growth stumbles, you're looking at \$40 fast.

KEY RISKS

- They're burning cash and not profitable yet — if the market sours on unprofitable growth stories again, this gets cut in half quickly like it did from \$104 to \$42.
- The CEO sold over \$3M of stock three weeks ago. When the guy with the most info is selling, you pay attention even if there's an innocent explanation.
- Healthcare AI is getting crowded — competitors like GRAIL, Guardant, and even Big Tech are pushing into precision medicine, and TEM needs to keep winning hospital contracts to justify the valuation.

RECENT NEWS

Tempus AI, Inc. (TEM) Opens Open-Source Digital Pathology Consortium Insider Monkey · 2026-06-16 12:52

Tempus AI (TEM) Stock After 23% Year-To-Date Decline Is Opportunity Emerging Simply Wall St. · 2026-06-13 02:10

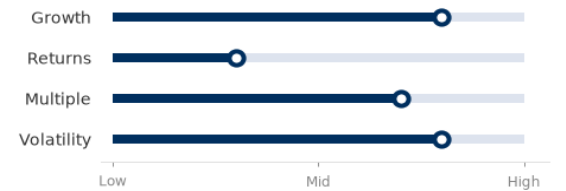
Tempus AI (TEM) Is One Of The Best Healthcare Mid-Cap AI Stock According To Analysts Insider Monkey · 2026-06-10 09:24

Assessing Tempus AI (TEM) Valuation After Recent Share Price Rebound And Underpriced Growt... Simply Wall St. · 2026-06-05 15:15

Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$50.84  |
| 12M Price Target    | \$68.00  |
| Upside / (Downside) | +33.8%   |
| Market Cap          | \$9.13B  |
| FY2026E Revenue     | \$1,290M |
| FY2027E Revenue     | \$1,620M |
| FY2026E EPS         | (\$1.15) |
| FY2027E EPS         | (\$0.55) |
| Fwd P/E             | N/M      |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$58.00   | \$52.00   | \$44.00   |
| 6 Months  | \$72.00   | \$60.00   | \$42.00   |
| 1 Year    | \$95.00   | \$68.00   | \$38.00   |
| 2 Years   | \$130.00  | \$85.00   | \$30.00   |
| 5 Years   | \$220.00  | \$125.00  | \$25.00   |
| 10 Years  | \$400.00  | \$200.00  | \$20.00   |

SECTOR INTELLIGENCE

**HEATING UP:** Technology (+4.5% this week) is on fire, Industrials and Consumer Discretionary catching a bid too.

**COOLING OFF:** Real Estate and Communication Services both down on the week — money is leaving anything that looks bond-like or defensive.

**ROTATION WATCH:** Cash is flooding back into growth and tech after a rough spring. When tech rallies like this, beaten-down AI names like TEM tend to get a second look from fund managers chasing performance into quarter-end.

**RELATED PLAY:** If TEM's pathology consortium gains traction, lab equipment makers and cloud infrastructure providers (think AWS, GCP) quietly benefit since all that AI processing has to run somewhere.

OUTPERFORMERS & PEER CONTEXT

- RXRX (Recursion Pharma): Another AI drug discovery name that's been bouncing on partnership news with bigger pharma players.
- GH (Guardant Health): Cancer diagnostics peer that's executing on profitability — investors are rewarding the path to making money.

**TEM CONTEXT:** TEM has been a laggard in 2026 — down 23% YTD per recent coverage — while peers with clearer profitability stories have held up better. The bounce starts here or it doesn't start at all.

INVESTMENT STRATEGY

6/10 Conviction Score

**CONVICTION:** 6/10 — I like the setup (beaten down, bullish options flow, big TAM) but the insider selling and lack of profitability keep me from going bigger.

**POSITION SIZE:** 2-4% of portfolio — this is a volatile name that can swing 10% in a day, so you size it small enough that a bad week doesn't ruin your year.

**ENTRY POINTS:** I'd nibble here around \$50 and add aggressively if it dips to \$45-47. Don't chase above \$55 — wait for pullbacks.

**TIME HORIZON:** 12-24 months. You're waiting for two things: another quarter or two of 30%+ revenue growth, and a credible path to breakeven by 2028.

**WHEN TO BAIL:** If revenue growth drops below 25% year-over-year, if the CEO keeps selling chunks, or if it breaks below \$42 (the 52-week low) on heavy volume — that tells you the bottom isn't in.

**HEDGING:** If you want protection, buy a put option a few months out at the \$45 strike — costs you a small premium but caps your downside if the stock craters. Or pair the long with a short in a pricier AI healthcare peer to neutralize sector risk.